8.2 QUOTA

1993/CE/II/53
Country A prefers to impose quotas rather than tariffs in restricting the amount of imports. Which of the following is a possible reason?

A. The government wants to increase its revenue.
B. The effect of quotas on the amount of imports will be more certain.
C. Local consumers can enjoy cheaper imports.
D. It will lead to less retaliation from the exporting countries.

1994/CE/II/12
If the government imposes an effective quota on good Y, the market price of Y will ________ and its quantity transacted will ________.

A. increase ...... increase
B. increase ...... decrease
C. decrease ...... increase
D. decrease ...... decrease

1994/CE/II/13
If the government imposes an effective quota on good Y, the consumers' total expenditure on good Y will

A. decrease
B. increase.
C. remain unchanged
D. increase or decrease, depending on the price elasticity of demand for good Y.

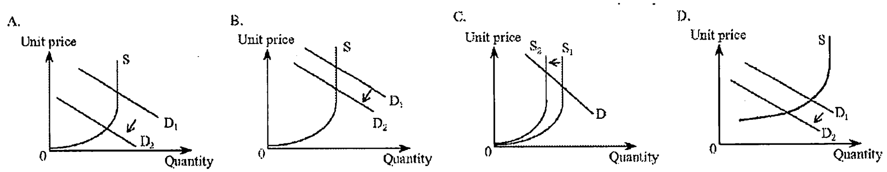
1999/CE/II/07
The abolition of an effective quota on an imported good will result in

(1) a fall in its price
(2) an increase in its import volume
(3) an increase in its total sales revenue.
(4) an improvement in its quality.

A. (1) and (2) only
B. (1) and (3) only
C. (1), (3) and (4) only
D. (2), (3) and (4) only

1999/CE/II/45
According to a news report, the use of U.S. import quota for Hong Kong garments has decreased because of keen competition from other Asian countries. This has led to some of the quota remaining unused for the first time.

Which of the following diagrams correctly shows the situation of Hong Kong's garment exports in the U.S. market as described above?



2000/CE/II/49
Suppose the US government decreases the quota for HK garments exported to the USA. This will lead to

A. a shortage of HK garments in the USA.
B. an increase in the income of garment producers in the USA.
C. a surplus in the balance of trade in the USA.
D. a decrease in the expenditure of US consumers on HK garments.

2005/CE/II/10

Good X (unit price)	*Quantity demanded in the market (unit)*	*Quantity supplied in the market (unit)*
$6	60	40
$9	55	45
$12	50	50
$15	45	55
$18	40	60

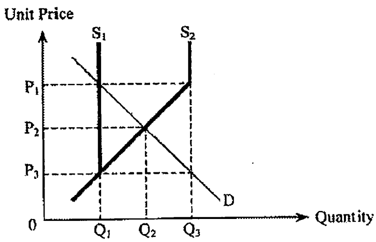
If the government fixes the production quota of Good X at 45 units, the market price of Good X will be

A. $9
B. $12
C. $15
D. $18

2005/CE/II/48
If the US government cancels the effective import quota restrictions on the textile products from Hong Kong, then the US import price of Hong Kong textile products will _______ and US import spending on Hong Kong textile products will _______.

A. rise ...... increase
B. rise ...... be indeterminate
C. fall ...... increase
D. fall ...... be indeterminate

2006/CE/II/10
In Country A, there is a quota restriction on an imported good. When the import quota quantity is Q_1, the market price of the good is P_1.



Now suppose Country A increases the quota quantity from Q_1 to Q_3 as shown in the diagram below. As a result, the new total sales revenue would be

A. $P_1 \times Q_1$
B. $P_2 \times Q_2$
C. $P_1 \times Q_3$
D. $P_3 \times Q_3$

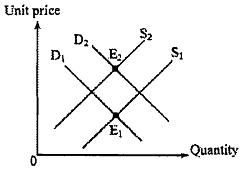
2007/CE/II/08

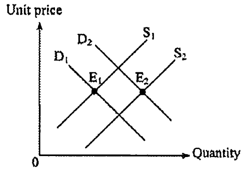
China abolished the car import quota system in 2005. As a result, ______________ in China will increase.

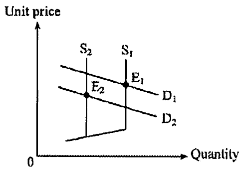
A. the price of cars
B. the sales volume of cars
C. the income of workers in the car manufacturing industry
D. the revenue from car sales

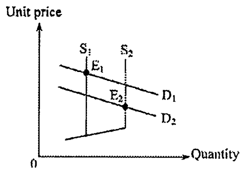
2008/CE/II/09

Country A reduces the quantity of an effective quota on clothing imported from Country B. At the same time, imported clothing from other countries to Country A has become cheaper. Which of the following graphs can illustrate the changes in Country A's market of clothing imported from Country B? E_1 is the original equilibrium point and E_2 is the new equilibrium point.

A.


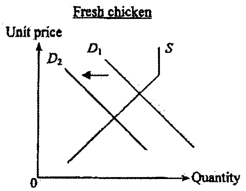
B.


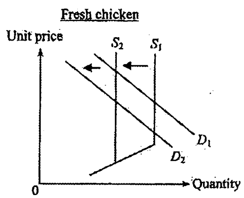
C.


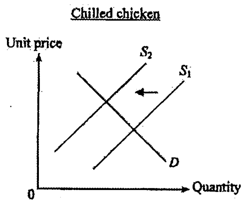
D.


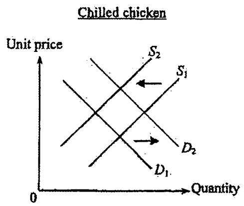
2009/CE/II/12

Last year, the government reduced the import quota of fresh chicken into Hong Kong. On the other hand, many Hong Kong citizens have changed their habit of consuming fresh chicken to consuming chilled chicken. Which of the following diagrams illustrates this phenomenon ?

A.


B.


C.


D.


2010/CE/II/13
If the Hong Kong government abolishes the import quota on live chickens from mainland China,

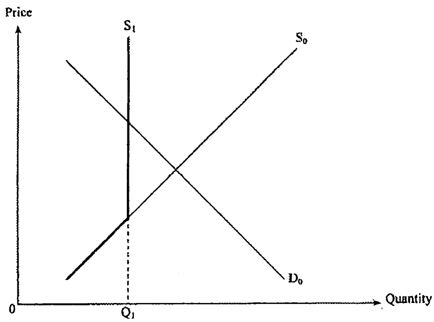
A. the price of live chickens in Hong Kong will increase.
B. the total sales revenue from live chickens in Hong Kong may increase.
C. the sales volume of chilled chickens in Hong Kong will increase.
D. the total expenditure on chilled chickens in Hong Kong may increase.

2012/DSE/I/19
The increase of an effective quota on a good will result in

(1) an increase in the quantity transacted of the good.
(2) a further improvement in the quality of the good.
(3) a smaller deadweight loss.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2013/DSE/I/19
Refer to the following demand-supply diagram of a good with the government setting a quota at Q_1.



Which of the following will be the result of a reduction in quota on the good?

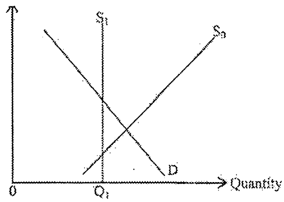
(1) The total expenditure on the good may increase or decrease.
(2) The consumer surplus will decrease
(3) The total social surplus on the good may increase or decrease.

A. (1) only
B. (1) and (2) only
C. (1) and (3) only
D. (1), (2) and (3)

2014/DSE/I/23
Suppose the supply curves of cars and petrol are upward-sloping. If the government imposes an effective quota on the production of cars,

A. the total social surplus in the car market will increase.
B. the producer surplus in the car market will decrease.
C. the total social surplus in the petrol market will decrease.
D. the consumer surplus in the petrol market will increase.

2017/DSE/I/24
Refer to the following supply-demand diagram of a good with a quota set at Q_1 by the government.



Which of the following will be the results of a reduction in quota on the good?

(1) The total expenditure on the good may increase.
(2) The consumer surplus will decrease.
(3) The total social surplus may increase.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2019/DSE/I/14
Refer to the following market demand for imported soybeans in Country A.

Price ($)	10	11	12	13	14
Quantity demanded (units)	700	600	500	400	300

When the government of Country A imposes a per-unit tariff of $3 on imported soybeans, the equilibrium price of the imported soybeans increases from $11 to $13.

Which of the following statements are correct?

(1) The total sales revenue (net-of-tariff) of the imported soybeans is $4000.
(2) The supply of the imported soybeans is more elastic than the demand for them.
(3) Within the range of the original and the new equilibrium prices, the elasticity of demand of the imported soybeans is smaller than one.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2019/DSE/I/15

A new private hospital, Gleneagles Hong Kong Hospital (GHK), opened in Wong Chuk Hang in early 2017. GHK offered a 50% salary rise to attract experienced nurses from public hospitals.

Based on the above information, which of the following statements is correct after the opening of GHK?

A. The wage rates of experienced nurses in public hospitals would increase by more than 50% if the demand for nurses is elastic.
B. The supply of experienced nurses in public hospitals would decrease.
C. The elasticity of demand of public medical services would decrease.
D. The waiting time for public medical services would remain unchanged.

2019/DSE/I/16

Refer to the following supply and demand schedules of Good X.

Unit price ($)	18	16	14	12	10	8	4
Quantity demanded (units)	100	150	200	250	300	350	400
Quantity supplied (units)	400	350	300	250	200	150	100

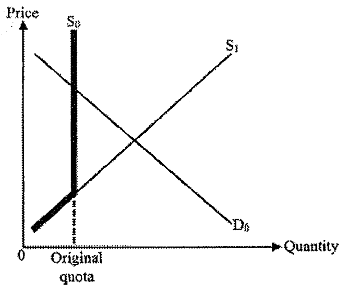
If the government increases the quota for Good X from 200 units to 350 units, the market price will __________.

A. increase by $2
B. increase by $6
C. decrease by $2
D. decrease by $6

2020/DSE/I/16

Refer to the following supply-demand diagram for the exported Chinese rare earth minerals.

Exported rare earth minerals



If China abolished the quota on the export of rare earth minerals,

(1) the export price of the rare earth minerals would drop.
(2) the export quantity of the rare earth minerals would rise.
(3) the total exchange value of the exported rare earth minerals would drop.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2024/DSE/I/15

Suppose the government of an economy imposes an effective catch limit (quota) on Pacific bluefin tuna. If the catch limit is lowered, the marginal benefit of the last unit of Pacific bluefin tuna will ____________ and consumers' total expenditure on Pacific bluefin tuna ____________.

A. increase......will increase
B. decrease......will decrease
C. increase......may decrease or increase
D. decrease......may decrease or increase

2025/DSE/I/17

Refer to the following supply and demand schedules of Good X.

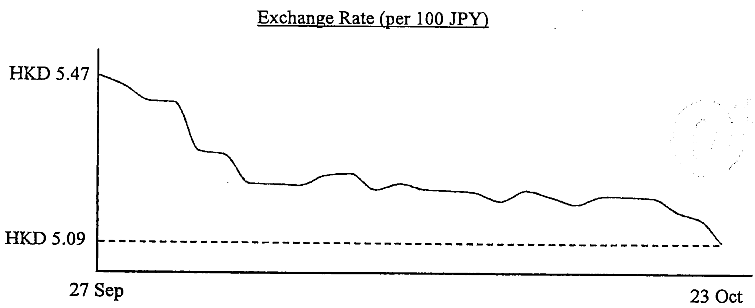
Unit price ($)	18	16	14	12	10	8	6
Quantity demanded (units)	100	150	200	250	300	350	400
Quantity supplied (units)	400	350	300	250	200	150	100

Suppose the government imposes a quota on Good X at 100 units. Which of the following statements is correct?

A. If the government increases the quota, the total revenue of Good X may decrease.
B. If the government increases the quota, the deadweight loss may increase.
C. Instead of imposing the quota, the imposition of a per-unit tax of $6 would have equivalent effect on the price.
D. Instead of imposing the quota, the imposition of a per-unit tax of $12 would have equivalent effect on the quantity transacted.

2025/DSE/I/45

The diagram below shows the exchange rate between Japanese Yen (JPY) and Hong Kong Dollar (HKD) from 27 September to 23 October 2024.



During the above period, if Japan's demand for imports from Hong Kong is ______, the total value of Japan's imports from Hong Kong (in terms of JPY) would ______.

A. elastic ...... decrease
B. elastic ...... increase
C. inelastic ...... decrease
D. perfectly inelastic ...... remain unchanged

Short & Structured Questions

1997/CE/I/10(b)
If a country imposes an effective quota on the quantity of its import, explain and indicate clearly on a supply-demand diagram how the market price and the volume of the import would change. (8 marks)

1998/CE/I/2
Suppose the government increases the quota on the quantity of an import and the increased quota is still effective. With the aid a diagram, explain whether the market price of the import would increase or not. (4 marks)

2001/CE/I/9(b)
Suppose the importing economy reduces the effective quota on the quantity of garments imported. With the aid of a diagram, explain under what condition the total expenditure of this economy on imported garments would decrease. (9 marks)

2008/CE/I/11(b)
Trade deficit is a concern of many countries.

In the past, the US imposed a quota restriction on imports of Hong Kong made garments. However, US import value (in terms of US$) of Hong Kong-made garments still increased with the quota restriction. Give **ONE** reason to explain why. (2 marks)

2015/DSE/II/3
An increase in an effective quota in the market of a good would lead to a reduction in deadweight loss. Do you agree? Explain your answer with the aid of a diagram. (6 marks)